

The July 2025 Senior Loan Officer Opinion Survey on Bank Lending Practices

The July 2025 Senior Loan Officer Opinion Survey on Bank Lending Practices (SLOOS) addressed changes in the standards and terms on, and demand for, bank loans to businesses and households over the past three months, which generally correspond to the second quarter of 2025.¹

Regarding loans to businesses over the second quarter, survey respondents reported, on balance, tighter lending standards and weaker demand for commercial and industrial (C&I) loans to firms of all sizes.² Furthermore, banks generally reported tighter standards and weaker demand for commercial real estate (CRE) loans.

For loans to households, banks reported basically unchanged lending standards and weaker demand for residential mortgage loans, on balance. In addition, banks reported tighter lending standards and stronger demand for home equity lines of credit (HELOCs). For consumer loans, standards tightened for credit card loans and remained basically unchanged for auto and other consumer loans. Meanwhile, demand weakened for credit card and other consumer loans and strengthened for auto loans.

The July SLOOS included a set of special questions inquiring about the current level of lending standards relative to the midpoint of the range over which banks' standards have varied since 2005. Banks reported that, on balance, levels of standards are currently on the tighter end of the range for all loan categories. Compared with the July 2024 survey, banks reported easier levels of standards for most loan categories except residential real estate (RRE) loans, for which levels of standards were comparable with July 2024.

Lending to Businesses

(Table 1, questions 1–12; table 2, questions 1–8)

Questions on commercial and industrial lending. Over the second quarter, modest net shares of banks reported having tightened standards on C&I loans to firms of all sizes.³ Meanwhile,

¹ Responses were received from 65 domestic banks and 19 U.S. branches and agencies of foreign banks. Respondent banks received the survey on June 18, 2025, and responses were due by July 2, 2025. Unless otherwise indicated, this summary refers to the responses of domestic banks.

² Large and middle-market firms are defined as firms with annual sales of \$50 million or more, and small firms are those with annual sales of less than \$50 million.

³ For questions that ask about lending standards or terms, “net fraction” (or “net percentage”) refers to the fraction of banks that reported having tightened (“tightened considerably” or “tightened somewhat”) minus the fraction of banks that reported having eased (“eased considerably” or “eased somewhat”). For questions that ask about loan demand, this term refers to the fraction of banks that reported stronger demand (“substantially stronger” or “moderately stronger”) minus the fraction of banks that reported weaker demand (“substantially weaker” or “moderately weaker”). For this summary, when standards, terms, or demand are said to have “remained basically unchanged,” the net percentage of respondent banks that reported either tighter or easier standards or terms, or stronger or weaker demand, is greater than or equal to 0 and less than or equal to 5 percent; “modest” refers to net percentages greater than 5 and less than or equal to 10 percent; “moderate” refers to net percentages greater than 10 and less than or equal to 20 percent; “significant” refers to net percentages greater than 20 and less than 50 percent; and “major” refers to net percentages greater than or equal to 50 percent.

banks reported having left most queried terms unchanged for C&I loans to large and middle-market firms while most terms for C&I loans to small firms tightened.⁴ Modest net shares of banks reported tighter collateralization requirements and higher premiums charged on riskier loans to firms of all sizes. In addition, modest net shares of banks reported having tightened the maximum size of credit lines, maximum maturities, and covenants on C&I loans to small firms. The remaining C&I loan terms were basically unchanged, on net, with the exception of a modest net share of banks that reported narrower loan rate spreads for loans to large and middle-market firms. Meanwhile, modest net shares of foreign banks reported having tightened standards and most terms for C&I loans.⁵

Among banks that reported tighter standards and terms for C&I loans, major net shares cited a less favorable or more uncertain economic outlook; increased concerns about the effects of legislative changes, supervisory actions, or changes in accounting standards; and the worsening of industry-specific problems as important reasons for doing so.⁶

Regarding demand for C&I loans over the second quarter, significant net shares of banks reported weaker demand from firms of all sizes. In addition, a moderate net share of banks reported a decrease in the number of inquiries from potential borrowers regarding the availability and terms of new credit lines or increases in existing lines. In contrast, a modest net share of foreign banks reported stronger demand for C&I loans.

The most frequently cited reasons for weaker demand, reported by major net shares of banks, were lower customer investment in plant or equipment as well as decreased customer financing needs for merger or acquisition and inventory.⁷

Questions on commercial real estate lending. Over the second quarter, moderate and modest net shares of banks reported tighter standards for loans secured by nonfarm nonresidential properties and construction and land development loans, respectively, while standards for loans secured by multifamily properties remained basically unchanged on net. While large banks

⁴ Lending standards characterize banks' policies for approving applications for a certain loan category. Conditional on approving loan applications, lending terms describe banks' conditions included in loan contracts, such as those listed for C&I loans under question 2 to both domestic and foreign banks and those listed for credit card, auto, and other consumer loans under questions 21–23 to domestic banks. Thus, standards reflect the extensive margin of lending, while terms reflect the intensive margin of lending. With respect to C&I loans, banks were asked about the costs, maximum size, and maximum maturity of credit lines; spreads of loan rates over the bank's cost of funds; premiums charged on riskier loans; terms on loan covenants; collateralization requirements; and the use of interest rate floors.

⁵ As exceptions, foreign banks reported having eased the use of interest rate floors and loan covenants while leaving collateralization requirements and loan rate spreads basically unchanged over the second quarter.

⁶ In addition, among banks that reported tighter standards and terms for C&I loans, a significant net share cited reduced risk tolerance as important.

⁷ Significant net shares of banks also cited customers' decreased accounts receivable financing needs, lower precautionary demand for cash and liquidity, higher internally generated funds, and alternative sources for borrowing as important reasons for weaker demand.

reported easier standards across CRE loan types, other banks reported tighter standards on such loans.⁸ In addition, a modest net share of foreign banks reported tighter standards on CRE loans.

Regarding demand for CRE loans, moderate net shares of banks reported weaker demand for construction and land development loans and loans secured by nonfarm nonresidential properties, while demand was basically unchanged for loans secured by multifamily properties. These responses were mixed across bank size categories, as large banks reported stronger demand and other banks reported weaker demand for all CRE loan types over the second quarter. Meanwhile, a moderate net share of foreign banks reported stronger demand for CRE loans.

Lending to Households

(Table 1, questions 13–26)

Questions on residential real estate lending. Banks reported having left standards basically unchanged over the second quarter across all types of residential mortgage loans.⁹ A modest net share of banks reported having tightened standards for HELOCs.

Meanwhile, banks reported weaker demand, on balance, for most RRE loan categories over the second quarter.¹⁰ A significant net share of banks reported weaker demand for non-QM non-jumbo mortgages, and moderate net shares of banks reported weaker demand for subprime, government, non-QM jumbo, and QM non-jumbo non-GSE-eligible mortgages. Additionally, a modest net share of banks reported weaker demand for GSE-eligible mortgages.¹¹ In contrast, a moderate net share of banks reported stronger demand for HELOCs.

Questions on consumer lending. Over the second quarter, a moderate net share of banks reported having tightened standards on credit card loans, while standards were basically unchanged for auto and other consumer loans. Banks also reported having tightened most queried terms on credit card loans. In particular, modest net shares of banks reported higher

⁸ Large banks are defined as those with total domestic assets of \$100 billion or more as of March 31, 2025. Other banks are defined as those with total domestic assets of less than \$100 billion as of March 31, 2025.

⁹ The seven categories of residential home-purchase loans that banks are asked to consider are government-sponsored enterprise (GSE)-eligible, government, qualified mortgage (QM) non-jumbo non-GSE-eligible, QM jumbo, non-QM jumbo, non-QM non-jumbo, and subprime. See the survey results tables that follow this summary for a description of each of these loan categories. The definition of a QM was introduced in the 2013 Mortgage Rules under the Truth in Lending Act (12 C.F.R. pt. 1026.32, Regulation Z). The standard for a QM excludes mortgages with loan characteristics such as negative amortization, balloon and interest-only payment schedules, terms exceeding 30 years, alt-A or no documentation, and total points and fees that exceed 3 percent of the loan amount. For more information on the ability to repay (ATR) and QM standards under Regulation Z, see Consumer Financial Protection Bureau, “Ability-to-Repay/Qualified Mortgage Rule,” webpage, <https://www.consumerfinance.gov/rules-policy/final-rules/ability-to-pay-qualified-mortgage-rule>. In addition, a loan is required to meet certain price-based thresholds included in the General QM loan definition, which are outlined in the Summary of the Final Rule; see Consumer Financial Protection Bureau (2020), “Qualified Mortgage Definition under the Truth in Lending Act (Regulation Z): General QM Loan Definition,” final rule (Docket No. CFPB-2020-0020), *Federal Register*, vol. 85 (December 29), pp. 86308–09, <https://www.federalregister.gov/d/2020-27567/p-17>.

¹⁰ The lone exception for residential mortgages was QM jumbo loans, for which demand was basically unchanged on net.

¹¹ On balance, large banks reported stronger demand for most RRE loan categories over the second quarter while other banks reported weaker demand across most RRE loan categories.

minimum credit score requirements, tighter credit limits, and a lower extent to which loans are granted to customers that do not meet credit scoring thresholds.¹² In contrast, most queried terms for auto loans and all queried terms for other consumer loans remained basically unchanged on net.¹³

Regarding demand for consumer loans over the second quarter, moderate and modest net shares of banks reported weaker demand for credit card and other consumer loans, respectively, while a modest net share of banks reported stronger demand for auto loans.

Special Questions on Current Level of Banks' Lending Standards

(Table 1, question 27; table 2, question 9)

As with all July surveys since 2011, the July 2025 survey included a set of special questions that asked respondents to describe the current levels of lending standards at their bank. Specifically, respondents were asked to consider the range over which their lending standards have varied since 2005 and to report where the level of standards currently is relative to the midpoint of that range.

For C&I loans, banks reported levels of standards that were near the midpoints of their historical ranges for syndicated or club loans to investment-grade firms and non-syndicated loans to large and middle-market firms, but tighter than the midpoints for syndicated or club loans to below-investment-grade firms, loans to small firms, and loans to very small firms.¹⁴ Though banks reported standards that were tighter than the midpoints of their historical ranges for most C&I categories, responses to the July SLOOS indicate that standards have eased for most C&I loan types from a year ago, when the net shares of banks that reported standards to be on the tighter end of the range were higher.¹⁵

For CRE loans, major net shares of banks reported that lending standards were on the tighter ends of their ranges for nonfarm nonresidential loans and construction and land development loans, while a significant net share reported a relatively tight level of standards for multifamily loans. These net shares of banks that reported standards to be on the tighter end are, however, lower than those reporting tight standards in the July 2023 and 2024 surveys. Similarly,

¹² Banks were asked about changes in credit limits (credit card accounts only), maximum maturity (auto loans and other consumer loans only), loan rate spreads over costs of funds, the minimum percent of outstanding balances required to be repaid each month (credit card accounts only), minimum required down payment (auto loans and other consumer loans only), the minimum required credit score, and the extent to which loans are granted to borrowers not meeting credit scoring thresholds.

¹³ As an exception, a modest net share of banks reported narrower interest rate spreads for auto loans.

¹⁴ A significant net share of banks reported that standards for syndicated or club loans to below-investment-grade firms were tighter, on net, than the midpoints of their ranges, while moderate and modest net shares reported so for non-syndicated loans to small firms and loans to very small firms, respectively.

¹⁵ Among foreign bank respondents, C&I loan standards were reported to be easier, on net, than the midpoints of their historical ranges for syndicated or club loans to investment grade firms and non-syndicated loans to large and middle-market firms, but on the tighter ends of their historical ranges for syndicated or club loans to below-investment-grade firms and non-syndicated loans to small firms.

significant net shares of foreign banks reported that standards were on the tighter ends of their historical ranges for all categories of CRE loans.

Regarding RRE loans, significant net shares of banks reported that lending standards were on the tighter ends of their ranges for all RRE loan categories. The net shares of banks reporting that levels were at the tighter ends of their ranges in the July 2025 survey were similar to those in the July 2024 survey reporting tight standards for residential mortgage loans, but modestly lower than those for HELOCs.

Regarding consumer loans, standards, on net, were on the tighter ends of their historical ranges for all consumer loan categories. Significant net shares of banks reported standards on the tighter ends of their ranges for subprime credit card loans, subprime auto loans, and other consumer loans, while moderate net shares of banks reported standards on the tighter ends of their ranges for prime credit card and auto loans. Compared with the July 2024 survey, lower net shares of banks reported standards on the tighter ends of their ranges for subprime credit card and auto loans, while similar net shares of banks reported relatively tight levels of standards for the remaining consumer loan categories.

Overall, responses to the July 2024 and 2025 surveys indicate that banks' lending standards have eased since 2024 for most loan categories, though they remained tight relative to their historical ranges.

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